

Standard Operating Procedures (SOPs)

Sales • Distribution • Shipping • Logistics Department

CFO Central Control – East Africa Operations

Context – Common Fraud & Leakage Patterns (East African FMCG Reality)

Drawn from real incidents in Kenya's dairy/beverage sector and similar markets:

- Under-reporting cash sales (route salesman pockets cash from kiosks/small shops)
- Fake discounts / returns / claims (approved for favorites or diverted stock)
- Product diversion ("spoiled" stock cleaned/repackaged/sold informally)
- Ghost/fake customers used to inflate sales or siphon stock
- Kickbacks & over-supply to colluding distributors/retailers
- Depot theft, short deliveries masked as transit loss
- Route sales fraud (extra load sold off-route, handheld tampering)
- Cash handling scams (delayed deposits, fake slips)
- Credit abuse & bad debt write-offs for personal gain
- Truck diversion, roadside sales, GPS tampering
- Expired/near-expiry relabeling → serious health & brand risk
- Collusion (guards, transporters, fake invoices)

→ These SOPs aim for near-zero tolerance and rapid detection.

- Each depot (Meru, Eldoret, Kisumu, Mombasa, Nakuru) headed by Depot Manager
- No independent financial decisions > KES 50,000 without CFO approval
- Role segregation: Stores Clerk, Sales Supervisor, Cashier, Route Salesmen
- Depot Managers rotated every 18–24 months + background checks + fidelity bond
- CFO appoints Depot Finance Controller (dotted line to Nairobi Finance)
- Monthly surprise visits (day & night) by Nairobi audit team

2 Invoicing & Billing Controls

- All invoices **system-generated** in ERP/DMS — sequential, auto-numbered
- Mandatory fields: customer code, batch/expiry, qty, locked price, approved discount code
- No backdating; amendments require **CFO digital approval** + full audit trail
- E-invoicing mandatory for credit customers
- System flags: duplicate invoices, unusual discount patterns

3 Cash Sales & Route Sales Process

- Pre-load plan approved daily (Depot Manager + Nairobi Sales Head)
- Handheld POS mandatory — real-time invoice, payment recording (cash/M-Pesa/transfer)
- Day-end cash: dual count (salesman + supervisor), sealed bag
- **Same-day deposit** — slip + bank confirmation uploaded by 10 AM next day
- Daily reconciliation: handheld sales vs. deposit vs. stock movement
- Variance > KES 5,000 or 1% → immediate hold + CFO investigation
- GPS on all route vehicles — real-time monitoring from Nairobi; deviation > 15 min alerts
- Random cash audits by Depot Finance Controller

4 Credit Sales & Customer Management

- Customer master pre-registered (KRA PIN, ID, physical + photo/GPS verification)

- Credit limits approved by CFO based on history & security
- Weekly aging report to CFO; >30 days overdue → auto-suspension
- Monthly ghost customer validation (visits / random calls)

5 Discounts, Promotions & Schemes

- All schemes pre-approved by Nairobi Marketing + CFO
- Applied only via system code + approval trail
- Promotion claims require photo proof + retailer acknowledgment
- Random audit of 20% of claims; monthly discount cap per customer

6 Returns, Rejections & Credit Notes

- Inspected by independent Quality + Stores team (photos, batch check)
- Credit note > KES 20,000 or >5% of monthly returns → CFO approval
- Returned stock locked; disposal video-recorded + witnessed (no resale)
- Track patterns — high returns trigger audit

7 Dispatch, Loading & Gate Controls

- Plant loading supervised + weighed vs. dispatch note
- Vehicle seal + GPS activated; gate pass system-matched
- Depot receipt verified within 2 hours — discrepancies to CFO
- CCTV at gates/loading bays (Nairobi monitoring)

8 Logistics & Vehicle/Driver Controls

- 24/7 GPS tracking — alerts for deviation, unauthorized stops, after-hours
- Drivers: background checks, no cash handling

- Fuel/expenses GPS-odometer verified
- Driver rotation — no permanent route assignment

9 Depot Stock Management & Reconciliation

- Perpetual inventory in ERP; daily count for high-value items
- Monthly full physical (Nairobi + external when needed)
- Discrepancy > 1% value → immediate CFO investigation

10 Technology & Central Monitoring (Mandatory)

- Full ERP/DMS rollout — plant ↔ depot ↔ route real-time visibility
- Handhelds mandatory — no cash-only sales without device
- Central CCTV + GPS monitoring from Nairobi
- Whistleblower hotline direct to CFO (reward KES 50,000–300,000 for proven tips)

11 Governance, Training & Incentives

- Quarterly fraud awareness training
- Annual code of conduct signature
- Bonuses tied to clean reconciliations, low variances, zero fraud — **not only volume**
- **Zero tolerance:** Proven fraud = immediate termination + legal recovery + industry blacklisting

Goal: Within 3–6 months — stock matches improve significantly, cash leakages reduced by ~80%+. Depot Managers report to CFO first on all financial & control matters.

